

THE CENTRAL BANK
OF THE
REPUBLIC OF ARMENIA

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dated 15.08.2014*

Inflation Report

Monetary Policy Program, Q3, 2014



*Status report on implementation
of the Monetary Policy Program
Q2, 2014*

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Since January 2006, the Central Bank of Armenia has moved to a fully-fledged inflation targeting strategy, which highlights the importance of communicating of the Bank to the general public by publishing, inter alia, quarterly inflation reports. First section of the inflation report includes next quarter's monetary policy program that provides new forecasts of inflation and other macroeconomic indicators and main directions of the monetary policy in the forecast horizon. Second section includes status report on implementation of the monetary policy program of the previous quarter, which covers actual economic and monetary developments.

Publishing of inflation forecast and assumptions underlying it makes the monetary policy of the Bank more transparent, understandable and predictable, which considerably increases the public confidence in the Bank. The Bank believes that a clear and trusted monetary policy positively affects the anchoring of inflation expectations and maintaining financial stability in terms of cost reduction.

Starting from the second quarter of 2012, the Bank has been publishing forecasts of non-conditional inflation in a 3-year time horizon, in implementation of the inflation targeting strategy, whereby the monetary policy is steered to minimize any deviations of potential inflation from a 4 % target. Projections in this report are based on the factual information available by August 12th, 2014, i.e. the approval of the refinancing rate, the results of a survey conducted by the Bank and the judgment made pursuant to the information on future macroeconomic developments.

All inflation reports which have been published to date are available on the Bank's website which also contains monetary policy-related publications.

1. EXECUTIVE SUMMARY

As the Central Bank forecasts suggest, in the short run the 12-month inflation rate will gradually increase from a relatively low level to be near the lower bound of the confidence band in late year.

The economic growth will speed up in 2015 and stabilize around its potential in the rest part of forecast horizon.

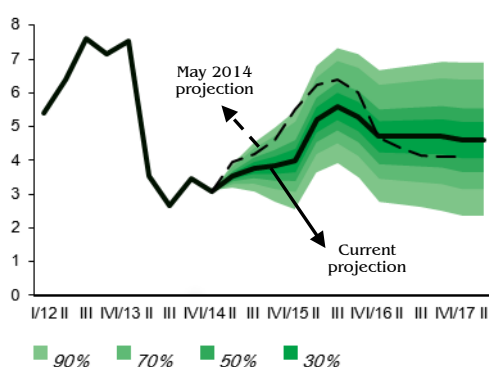
According to the Central Bank forecasts, in the short run the 12-month inflation rate will gradually increase from a relatively low level to be near the lower bound of the confidence band in the end of the year, but in the 1st quarter of 2015 it will come closer to the target and stay around in the rest part of forecast horizon. The economic growth will speed up in 2015 and stabilize around its potential in the rest part of forecast horizon.

In the 2nd quarter of 2014 too, *the economic environment remained sluggish* due to weak external and domestic demand. The latter, in turn, reflected the slow pace with which private consumption growth rates rebounded while investment activity continued to be low: in the 2nd quarter of 2014, private consumption growth was an estimated 4.1% y/y and private investment growth, 5.4% y/y. In agriculture, lower than expected output growth was due to bad weather conditions, which was also a drag to the economic activity. As a result, it is expected that economic growth in the first half of the year would be in the range **3.4-3.6% y/y**.

According to short-term forecasts, private consumption growth rates will accelerate whilst a stable investment environment can be expected, under which circumstance private consumption in 2014 will grow by 4.0% and private investment, by 1.8%. In anticipation of expansionary fiscal policy during the year, the fiscal impulse is an estimated 0.3 pp expansionary. Based on the 2014 results, the real growth of export of goods and services will be in the range of 2.0-4.0%, the real growth of import within 1.5-3.5% and the growth rate of remittances of individuals within 1.0-3.0%. As a result, *economic growth in 2014 is estimated in the range 3.6-4.2%* (a central forecast value – **3.9%**), due mainly to good performance in the agriculture and service sectors (a total contribution of 2.9 pp).

In the forecast horizon the economic growth is expected to somewhat accelerate and stabilize around its potential, reflecting increasing private consumption growth rates and slowly rebounding private investment. Thus, *in the forecast horizon*, with stabilizing private demand as well as mostly a neutral impact of the fiscal policy, *expanding of an inflationary environment is not likely*.

Real GDP cumulative growth projection probability distribution for 3-year horizon



In external sector in the 2nd quarter of 2014, geopolitical developments brought in more uncertainties. In such a situation, weak deflationary patterns prevailed in international markets of basic commodities and food products. In the forecast horizon, global economic growth rates will continue to recover at a slow pace, under which conditions notable inflationary pressures from international markets of basic commodities and food products are not likely.

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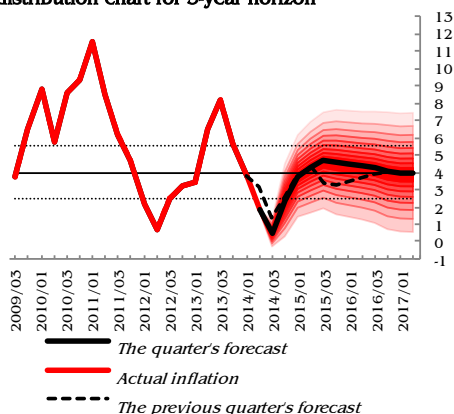
In the 2nd quarter of 2014, the 12-month inflation rate further trended down to 1.8% in late June.

In the 2nd quarter of 2014, ***the 12-month inflation rate*** further trended down to 1.8% in late June, below the lower bound of the confidence band. During the quarter, core inflation followed a downward path as well, with its 12-month indicator dropped to 0.4% from the previous quarter's 1.8%.

In the 2nd quarter of 2014, the Central Bank cut the refinancing rate by 0.5 pp to 7.0% in late June.

In the 2nd quarter of 2014, the Central Bank reduced the refinancing rate by 0.5 pp to 7.0% in late June (see details in section 3.1.1 Actual inflation and attainment of target).

Inflation (12-month) forecast probability distribution chart for 3-year horizon



In the 3rd quarter of 2014, the Central Bank will further loosen the monetary conditions.

In view of the public sector wage growth since the second half of the year, ***electricity price rise*** from August as well as ***stamp duty introduced*** to a variety of goods starting from the 4th quarter of 2014, inflation will somewhat increase in the second half of the year. It will nevertheless remain at a low level in the yearend, closer to the lower bound of the target. ***In the 3rd quarter of 2014, the Central Bank will continue loosening the monetary conditions.*** This, coupled with the easing of monetary conditions to date and an expansionary fiscal policy anticipated during the year, will stimulate aggregate demand and push inflation rates to rebound. As a result, the economic activity will somewhat revive in the upcoming period of time whilst facilitating the inflation to stabilize around its target in the medium run.

Risks to inflation deviating from the ***projected value*** are estimated as ***balanced*** in both short and medium-term perspectives. ***External sector risks*** are primarily associated with development perspectives in emerging economies, and Russia in particular, and how their potential impact would be spilled over to basic commodities and food product markets. ***Risks deriving from the domestic environment*** are attributable to domestic demand developments, particularly capital investment recovery rates, the state budget performance as well as the developments in agriculture sector which is largely reliant on climatic conditions. If such risks materialize, the Central Bank will react accordingly by maintaining the inflation target in the medium run.

2. FORECAST, FORECAST CHANGES, RISKS

2.1. External environment¹

The global economy rebounding will create minor inflationary pressures in the external sector.

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In 2014, world economic growth as well as growth rates in domestic economies of Armenia's trade partners is expected to slow down to a certain extent in comparison with the previous forecast, which will be noticeable in both emerging and developed countries.

The **U.S. Federal Reserve System** is planning to end the quantitative easing program during 2014, although interest rates are only expected to rise in early 2016. Economic growth in 2014 is estimated around 1.8%, to reach some 3% in 2017.

In the **Euro-area**, economic recovery observed since late 2013 will carry on over the forecast horizon, with the economic growth amounting to 1% in 2014 and reaching some 1.5% in 2017. In light of a weak inflationary environment, the European Central Bank will continue a low-interest-rates policy.

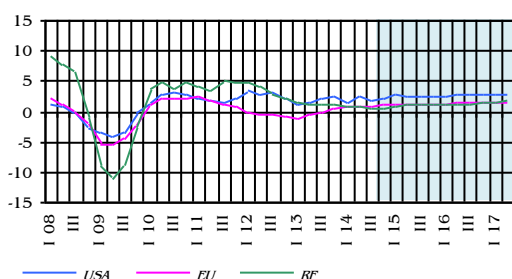
In **Russia**, economic activity is expected to be low, with the level of inflation to increase throughout the forecast horizon. Slowing economic growth rates due to geopolitical developments with Ukraine will mainly be reflecting a weak investment activity and capital flight. The growth rate in 2014 is estimated to be about 0.6%, reaching 1.8% in 2017.

In the July 2014 report, the IMF predicted a 3.4% world growth indicator for 2014 (with downside adjustment of 0.3 pp). The adjustment was made owing to both developed and developing countries (0.4 and 0.2 pp, accordingly).

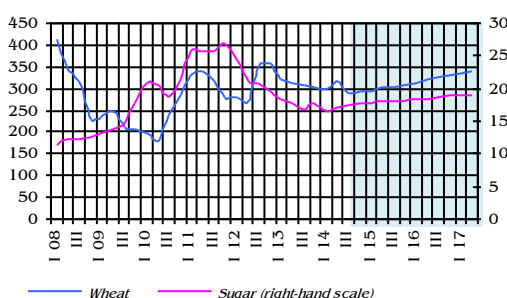
Uncertainties and risks about the further pace of global economy **are more essential** for developing countries. Such uncertainties are associated with capital flight to developed countries and a resultant slowing of economic activity.

With the global economy recovering at a slow pace, no significant inflationary trends will be observable in the world's **basic commodity and food product markets**. In the meantime, individual commodity markets are predicted to develop under the influence of fundamental factors inherent in any such markets. Risks associated with energy price developments will be determined by geopolitical events, whereas prices of food products will depend on weather conditions.

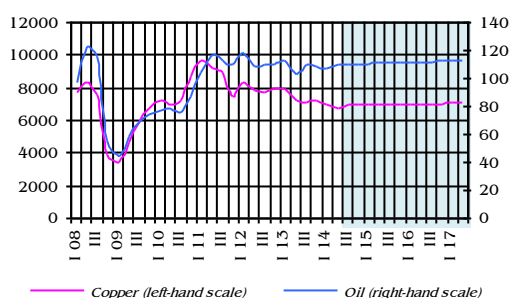
Economic growth in trade partner countries, (%)



Food products (USD)



Basic commodities (USD)



With the global economy recovering at a slow pace, no significant inflationary trends will be observable in basic commodity and food product markets.

¹ The forecasts of external sector have been based on the information provided from international reputable analytical, research, ratings organizations and financial institutions as well as various news agencies worldwide (including the IMF, World Bank, The Economist, Economist Intelligence Unit, Global Insight, Financial Times, and so on).

***Developments in commodities markets in
the forecast horizon***

According to International Energy Agency's July estimates, in 2014 around 61% of global oil demand will be met by producing oil by non-OPEC countries (the growth was 2.7% against the previous year), under which circumstance average demand for extraction of oil by OPEC countries will reach 36.35 million b/d. In the forecast horizon, international oil prices are expected to grow moderately as world economic activity rebounds, although geopolitical developments are such that inflationary risks will persist in the global market of energy resources.

In 2014-2017, moderate inflationary patterns will be discernable in base metals markets, as the global economy further recovers. In China however, in anticipation of accelerating industry growth, the world copper market is expected to see some inflationary developments in the short run.

According to July estimates of the U.S. Department of Agriculture, in the 2014/2015 marketing year some 705.2 million tons of wheat crops is expected (the volume of crop has reduced by about 9 million tons in comparison with the previous year). Furthermore, some growth of stock is expected in the forecast horizon, reflecting faster production rates over consumption (the stock will increase by nearly 5.2 million ton against the previous year). Notwithstanding short-term deflationary patterns, average international wheat price will follow a steady path in the medium run.

In the 2014/2015 marketing year, world production of rice will reach 479.7 million tons (about 2 million tons more compared to the previous year). On the back of increased consumption however, the world rice stock may come in at somewhat reduced volumes (roughly 3 million tons less in comparison with the previous year). As a result, average international rice price will mostly behave stably.

Predictable reduction of cane crop in Brazil in the 2014/2015 marketing year will be largely compensated by generous harvest expected in the EU, Australia and Mexico. As a result, in the medium run international sugar price may trend slightly up.

2.2. Aggregate supply and Aggregate demand

Aggregate supply

The ***economic growth forecasts were revised downside*** on the back of further adversities due to pessimistic economic growth prospects in Russia, Armenia's main trade and investment partner, a weaker-than-anticipated expansionary fiscal policy implementation, a slow pace of implementation of some major construction projects in the country and negative developments in agriculture.

Economic growth in 2014 is expected in the range of 3.6-4.2%.

As a result, economic growth in 2014 is expected within **3.6-4.2%**² (a central forecast value – **3.9%**). Furthermore, projected economic growth trends will continue in the forecast horizon, and the economic growth is expected to stabilize around its potential.

For **Industry**, the forecasts were revised downside, with ore mining and metallurgy predicted to reduce due to the falling prices of non-ferrous metals in global markets. Growth rates in production of building materials, processed food and beverage were also revised downside due to the reported slowing in growth rates in construction, external and domestic demand. As a result, in 2014 value added in industry is expected to grow in the range 1.3-2.3%.

In **forecast horizon**, the industry growth will stabilize around 5%; this development will also be backed by the operation of the Teghout mine and a number of major projects.

For **Construction**, forecasts of value added were revised downside, mainly due to lower-than-expected activity in the sector in the 2nd quarter. As a result, value added is expected to grow in the range 0.5-1.5% in 2014, mainly driven by construction activities in such infrastructures as roads, irrigation systems, water and sewage, the country's northern terminals and Yerevan underground, which will be funded by central and local government budgets as well as resources of international organizations.

In the **forecast horizon**, the growth is expected to stabilize within 0-1% as the supply and demand disequilibrium in construction phases out.

For **Agriculture**, the forecasts were revised downside too, primarily due to actually negative developments in plant growing on the one hand and anticipated fewer crops because of hailstorm in June-July this year on the other. As a result, the real growth of value added in the sector in 2014 is predicted in the range of 2.3-3.3%.

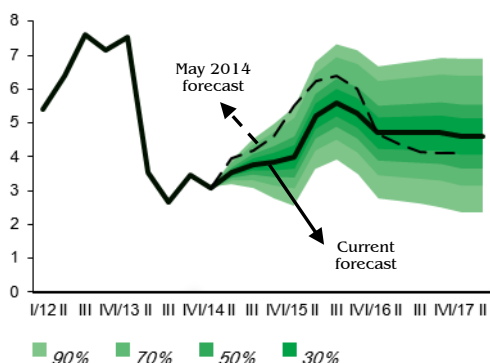
In the **forecast horizon**, underlying growth rates in agriculture will persist within 5.2-5.8%.

For **Services**, the forecasts were revised slightly upside based on reported higher-than-expected activity in trade, travel and air transport branches in the 2nd quarter. As a result, real growth of value added in services is predicted in the range of 5.2-6.2% for 2014.

In the **forecast horizon**, growth rates in services will stabilize around 5.6%, broadly in line with the medium-term domestic demand forecasts.

² See the 30 % interval in the Real GDP Growth (Cumulative) Projection Probability Distribution Chart in this paper.

Real GDP growth (cumulative) forecast probability distribution chart for 3-year horizon



In the forecast horizon, risks to the economic growth under the baseline scenario are dual sided and depend on how external and domestic economies would perform further and on existing uncertainties over private investments.

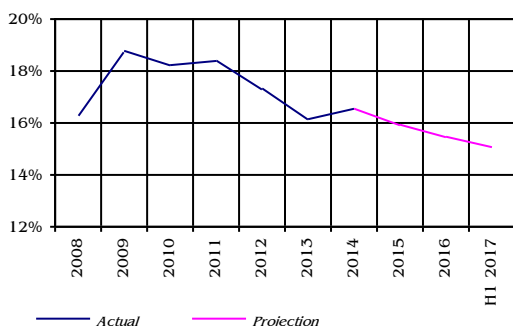
Real GDP growth (cumulative) forecast probability distribution chart for 3-year horizon

Period	30% probability distribution		90% probability distribution	
	min	max	min	max
January-December 2014 / January-December 2013	3.6%	4.2%	2.7%	5.0%
January-December 2015/ January-December 2014	4.9%	5.7%	3.4%	7.2%
January-December 2016 / January-December 2015	4.2%	5.2%	2.5%	6.9%

Labor market:³ Forecasts of labor market indicators for 2014-2016 were somewhat revised in response to the adjustment made in economic growth forecasts. Specifically, in the forecast horizon average wage is expected to have somewhat slower growth rates and the unemployment rate to reduce unhurriedly.

In 2014, average nominal wage in the economy is expected to grow by nearly 11.6% against 6.0% growth reported in 2013.

Unemployment rate



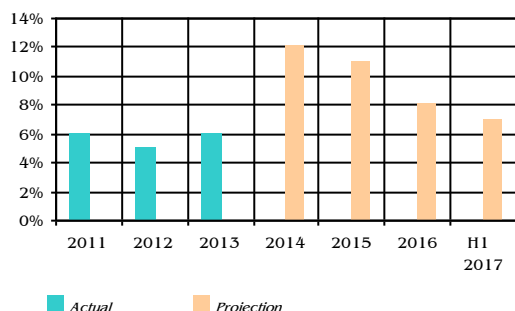
In 2014, **average nominal wage is expected to grow by nearly 11.6% compared to 6.0% growth recorded in 2013.** The wage increase during the year will be fuelled by the rising of minimum wage threshold, some rise in wages in the private sector in the context of the funded pension reform and sizable wage increases in the public sector most likely to happen in the second half of the year. Note that wages increases in the public sector will possibly trigger some rise in wages in the private sector, reflecting the wage competition across segments between the public and private sectors. In the second half of the year, some minor inflationary pressures (about 0.3 pp) will be observable in the consumer market due to added unit labor costs in the private sector companies. Such pressures will vanish in the midst of 2015, however.

In anticipation of relatively slow economic growth in 2014, average unemployment rate will amount to 16.5%, up by 0.3 pp in comparison with the previous year. In the period **2015-2017** however, the unemployment will subside gradually as economic growth rates will accelerate.

In the period 2015-2017, nominal wages will keep on increasing at a faster rate in relation to 2013, on the back of anticipated economic growth, inflation developments, reducing unemployment and the Government's policy further steered to foster wage growth. Note that the effect of sizable wage increase in the public sector in the second half of 2014 will be persisting in the course of the first half of 2015, which will lead to above average gross wage growth rates for the period mentioned.

³ The labor market data for 2014 are the Central Bank estimates which are based on the 1st quarter of 2014 data and actual April-May 2014 figures. The growth indicators presented in this sub-section are relative to the same quarter of the previous year, unless otherwise specified.

Average nominal wage growth, y/y



In the second half of 2014, the wage increase in the public sector, an increased minimum salary threshold and wage readjustments in the context of funded pensions reform will accelerate the growth rate in wages in the private sector. As a result, according to the Central Bank estimates, the consumer market will be going to feel minor inflationary pressures from a supply side, to the extent of 0.3 pp, which will phase out in the first half of 2015. In the forecast horizon, inflationary pressures from the labor market are not anticipated⁴.

Aggregate demand ⁵

Expansionary fiscal policy and monetary policy implementation will push aggregate demand to grow in the period from the middle of 2014 through late 2015 at a rate fairly above the growth rate reported in early 2014, and it will reach 5%. However, starting from end-2015, in the event the impact of the fiscal policy weakens, aggregate demand will grow at a slower but steadier pace, in line with the economic growth rates.

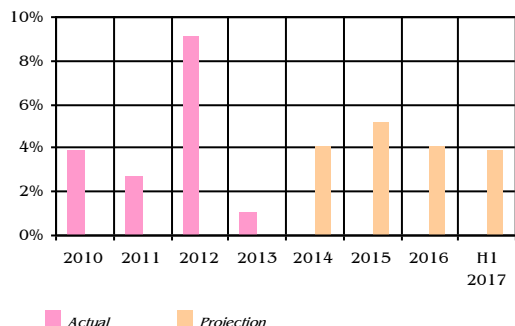
In 2014, private consumption growth rate is an estimated 4%.

In anticipation of slowing remittances from Russia as well as weaker-than-expected activity in domestic economy and reduced public spending, the growth rate in **private consumption** for 2014 was revised downside to an estimated 4%. Despite the revision, the 2014 private consumption growth is expected to be significantly above the 0.9% growth recorded in 2013.

High inflation driven by increased energy prices as well as the slowing of credit growth rates are among factors that determined the sluggish real private consumption growth rates in the second half of 2013 and early 2014. Note that, starting from the 1st quarter of 2014, slowing rates in remittances from Russia also served a substantial drag to the growth of private consumption.

With the negative impact of increased energy prices phasing out, expansionary fiscal and monetary policy implementation and strong consumer credit growth somewhat speeded up the pace of private consumption growth in the 2nd quarter of 2014.

Private consumption growth, y/y



A significant increase in wage in the public sector in the 3rd quarter of 2014, coupled with a stimulating monetary policy implementation, will contribute to the growth of disposable income of households while in general a low inflationary environment will increase the purchasing power of income. As a result, starting from the second half of 2014, the private consumption growth rates will grow even faster; during 2015 they will persist at the high level and in 2016-2017 will gradually stabilize around 4.0%.

In the first half of 2014, **investment activity** in the economy was sluggish, as was anticipated, reflecting contracted output in

⁴ The wage increase in the medium run will also lead to demand-pull inflation (see details in the section "Aggregate demand").

⁵ The data of real growth of private consumption and investments for 2014-2017 are the Central Bank estimates. Actual figures of these data are as of Q1 2014 and published by the Republic of Armenia National Statistics Service. The real growth indicators represented in this sub-section are relative to the same quarter of the previous year, unless otherwise specified.

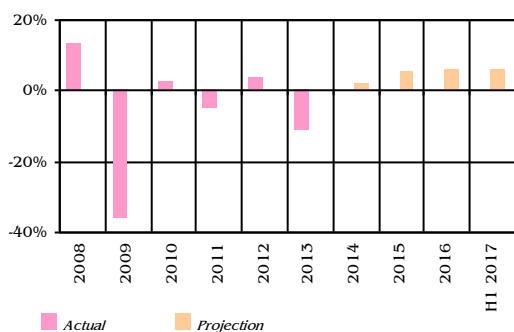
construction in the period January-June⁶. According to the Central Bank surveys, in the 2nd quarter of 2014, relative to the 1st quarter of 2014, investment activity has somehow improved⁷.

In 2014, private investment will grow a little, by 1.8% against the previous year.

There is anticipation that investment activity will keep on improving during 2014 as economic growth revives. But because investment activity for the year is estimated to remain modest, private investment *in 2014* will only post a minor growth of 1.8% compared to the previous year. *In 2015-2016* private investment will be expected to report somewhat a higher growth of 5-6%, as construction activity will stabilize and some private sector projects will be implemented. Note that the investment recovery process could be boosted up by gradually increasing gross national savings as a result of the launch of a funded pension contribution scheme.

With the planned membership to the Eurasia Customs Union, Armenia could see more private investment flowing into its economy for implementation of a variety of projects to be carried out with members of the union.

Private investment growth, y/y



In view of the developments with private consumption and investment mentioned above, in 2014 growth rates in private spending will accelerate and in the end of *forecast horizon* will stabilize around 4.0%. As a result, the private spending gap will persist in 2014 and will wane out to zero in early 2015. The private spending growth rate, which accelerated reflecting the lagged influence of fiscal and monetary policy implementation, will result in a small positive private spending gap in 2015 and will gradually return to zero in the forecast horizon.

In 2014, therefore, the private spending will create 1.7-1.8 pp of contractionary impact on inflation. Starting from the second half of 2014, deflationary pressures of private spending will weaken and eventually phase out in early 2015. During 2015, the impact of private spending will be minor inflationary, 0.2 - 0.3 pp, which will phase out in the period 2015-2016.

The 2014 forecasts of individual items of current account came with further adjustment, taking into account the July 2014 global economic growth outlook updates and domestic economic growth revisions. It should be noted that the Current Account Deficit / GDP ratio will increase compared to the same period last year as a result of official Republic of Armenia BOP adjustments⁸.

The real export of goods and services growth indicator for the second half of 2014 was revised downside in consideration of a slower-than-expected real export of goods and services growth indicator reported for the first half of 2014, downward forecasts

⁶ See <http://armstat.am/file/doc/99487153.pdf>.

⁷ See https://www.cba.am/AM/Economic%20Activity%20and%20Business%20Climate%20Indices/BAI,BCI_full_1.2013.pdf.

⁸ Specifically, the 2013 import indicator was adjusted substantially downside, resulting in the 2013 Current Account Deficit / GDP ratio to incur some 2.5 pp of downside revision to 8.0%.

for global economy as well as adjusted timing for exploitation of Teghout mine. As a result, in 2014 the real export of goods and services growth rates will be in the range of 2.0-4.0%.

The real import of goods and services growth indicator for the second half of 2014 was revised downside as well, mainly due to downward revision of GDP growth rates and in view of the actual indicator. As a result, the real import of goods and services growth indicator for 2014 will persist within 1.5-3.5%.

In the first half of 2014, the growth rate of private remittances of individuals slowed down considerably, which is why the growth of such remittances was revised downside, for 2014 in the range of 1.0-3.0% in response to actual developments as well as most recent adjustments in forecasts about the Russian economy.

All above-mentioned developments denote that Current Account Deficit/GDP ratio will range within 9.0-10.0% in 2014 but will decline to 5.0-6.0% in the medium run.

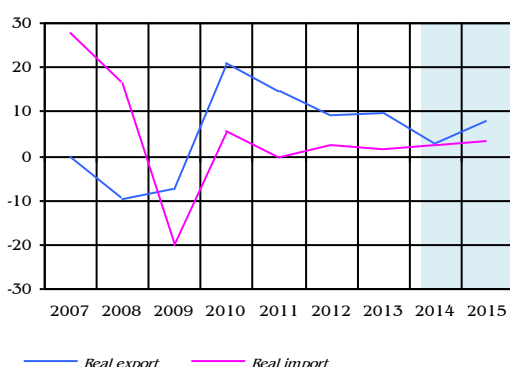
In view of the Q2 2014 *State Budget* performance, which posted revenue somewhat underperformed against the quarterly projections and some expenditure savings (see Section “Actual fiscal policy developments”), the annual plan was adjusted to provide for savings that would reach 4.5%⁹ of annual public expenditures. In 2014, the Tax/GDP ratio is expected to have a 0.8% growth and the Expenditures/GDP ratio to post nearly a 0.4% increase in relation to previous year's actual indicators. The planned increase of expenditures is due to faster growing capital costs and current expenditures.

As the above developments suggest, in 2014 the deficit is expected to be lower than the level stipulated by the Law on State Budget.

In 2014, relative to 2013, the fiscal policy's impact on aggregate demand is expected to leave a minor (0.3 pp) expansionary impact instead of an estimated 0.7 pp expansionary impact, as was outlined in the second quarter's monetary policy program. Due to a revised assessment of the economic growth, there will be an estimated 0.58 contractionary impact of revenues (revenue collection under a lower economic growth scenario would leave a restrictive effect instead of a formerly estimated neutral) and 0.92 expansionary impact of expenditures (an estimated 4.5% of cost savings as prescribed by the law). Notwithstanding a wage increase in the public sector starting from the second half of the year, which would raise the expansionary impact of expenditures, somewhat a greater contractionary effect of revenues could be likely, which would result in the fiscal impulse to be less expansionary in the second half of the year compared to the effect observed in the first half.

The *fiscal policy's impact in the forecast horizon* was estimated using the macroeconomic indicators underlying the

Real export and real import (of goods and services), y.y, %



As the above developments suggest, in 2014 the deficit is expected to be lower than the level stipulated by the Law on State Budget. In 2014, relative to 2013, the fiscal policy's impact on aggregate demand is expected to leave a minor (0.3 pp) expansionary impact.

⁹ A Central Bank estimate.

Republic of Armenia Medium-Term Public Expenditures Program, 2015-2017, which is steered to an effective debt management and a Deficit/GDP ratio to be maintained on average at the 1.9% level in the medium run. In the outcome, ***the impact of fiscal policy in the medium run is estimated to be non-inflationary.***

Medium-term fiscal policy impact assessment					
% in GDP	2013	2014	2015	2016	2017
Budget revenues	24.3	24.6	23.9	23.6	23.7
Budget expenditures	24.5	25.8	25.9	25.4	25.5
Debt interest payment	1.1	1.4	1.4	1.4	1.4
Budget balance	-0.2 ¹⁰	-1.2 ¹¹	-2.0	-1.8	-1.8
Primary balance*	0.9	0.2	-0.6	-0.4	-0.4
One-off flows**	0.4	0.0	-0.4	-0.4	-0.4
Adjusted balance***	0.5	0.2	-0.2	0.0	0.0
Cyclical balance****	-0.5	-0.4	-0.1	-0.1	0.0
Cyclically adjusted primary balance (structural balance sheet)	1.0	0.6	-0.1	0.1	0.0
Fiscal stance*****	-0.9	0.4	0.7	-0.2	0.1

* Budget balance minus debt interest payments.
** Temporary or one-off budget entries. In this case net credit is considered; the sign "+" means resources allocated and the sign "-" means resources repaid.
*** Primary balance sheet adjusted by one-off entries.
**** Central Bank estimate: a part of the budget balance which depends directly on the business cycles. The latter's components depend on the GDP gap and revenues and expenditures elasticity coefficients on GDP gap.
***** Central Bank estimate: y/y change in the structural budget balance that reflects a discretionary nature of the fiscal policy (the positive sign denotes fiscal expansion and the negative sign denotes fiscal contraction).

To sum-up, the combined impact of the fiscal sector, private demand and labor market on domestic prices in 2014 will be deflationary, 1.0-1.1 pp, which will phase out in early 2015. In the course of 2015, the combined impact of the aforementioned factors is estimated to be minor inflationary, 0.3-0.4 pp, reflecting the influence of an expansionary fiscal policy and above-average wage increases on inflation since 2014. Starting late in 2015, the impact of domestic demand and labor market on inflation is estimated to be neutral.

2.3. Inflation forecasts and monetary policy directions in 3-year forecast horizon

In the light of current geopolitical developments, there are even more uncertainties in the external sector associated with trade partners' economic prospects. ***In the forecast horizon, economic growth in developed countries will continue to recover slowly, while developing countries will further face uncertainties about economic and geopolitical issues*** driven, largely, by slowing investment flows and capital flight. Russia's economic development prospects are worth mentioning as medium-term

In the forecast horizon, economic growth in developed countries will continue to recover slowly, while developing countries will further face uncertainties about economic and geopolitical issues.

¹⁰ The 2013 state budget indicators are presented without off-budgetary funds, and public expenditures are shown by cash flows.

¹¹ The 2014 state budget deficit indicator is the Central Bank estimate, whereby budget revenues are expected in line with the projection while public expenditures are projected to be 4.5% less from the annual figure (due to the first half savings and taking into account the previous years' trends of public expenditures).

economic growth was revised substantially downside mainly due to the slowing in investment and a resultant decline in economic activity in other sectors.

With the global economy recovering at a slow pace, demand-side inflationary pressures ***are not observable in the world's main commodity and food product markets***. However, individual product markets may run into certain supply-driven issues attributable primarily to geopolitical, climatic and other events.

In the 2nd quarter of 2014, economic activity was still slower-than-expected, and economic growth in January-June was an estimated 3.5% instead of the projected 4.0%.

In the 2nd quarter of 2014, economic activity was still slower-than-expected, with an estimated economic growth of 3.5% in the period January-June instead of the projected 4.0%, and the services sector was the main driving force behind it (with 2.4 pp contribution to economic growth). During the quarter, private consumption growth rates were slower from expectations while investment activity remained weak. In the meanwhile, driven by a considerable decline in Russia's economic activity, external demand came out weaker during the quarter, as was anticipated. Negative developments in the Russian economy also reflected a notable slowdown in the growth of private transfers. The aforementioned developments combined with a less-than-projected expansionary fiscal policy of the government in the first half of year led to an even bigger negative GDP gap in the 2nd quarter of 2014, which rapidly pushed the inflation rate down to 1.8% in late June.

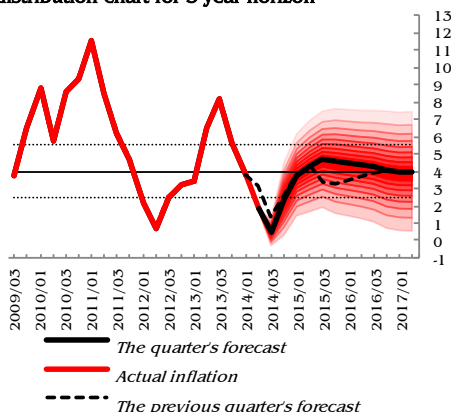
In the 2nd quarter of 2014, the 12-month inflation rate subdued faster to 1.8% in late June.

According to the Central Bank forecasts, economic growth in Armenia in 2014 will be slower than expected, in the range of 3.6-4.2%, given actual developments in the domestic economy, less expansionary fiscal policy as well as Russian economic growth prospects seen in the light of pessimistic expectations. Moreover, the services sector will remain the main driver to economic growth, with an estimated contribution of 2.3 pp.

In view of slowly recovering economic activity, ***electricity price increase*** from August (with an estimated total contribution of 0.6-0.7 pp to inflation, of which 0.53 pp as direct contribution) and ***stamp duty introduced*** to a variety of goods (making up roughly 12.0% of the consumer basket) starting from the 4th quarter of 2014, ***inflation***, still at a low level, will somewhat increase in the second half of the year to approach the lower bound of the confidence band. ***In the 3rd quarter of 2014, the Central Bank will continue to loosen the monetary conditions***. This, coupled with the easing of monetary conditions to date and an expansionary fiscal policy anticipated during the year, will stimulate aggregate demand and push inflation rates to rebound. As a result, the economic activity will somewhat revive in the upcoming period of time whilst facilitating the inflation to stabilize around its target in the medium run.

Thus, inflation will expand gradually until the end of the year, nearing the lower bound of the band, and, starting from early 2015, it will stabilize around its target.

Inflation (12-month) forecast probability distribution chart for 3-year horizon



Period	Inflation forecast probability distribution chart				
	<1.0%	1.0-2.5%	2.5-5.5%	5.5-7.0%	>7.0%
III 2014	65.4%	34.6%	0.0%	0.0%	0.0%
IV	13.7%	39.4%	46.1%	0.8%	0.0%
I 2015	2.6%	15.7%	69.8%	10.6%	1.3%
II	2.0%	11.1%	64.3%	18.1%	4.6%
III	1.4%	8.2%	58.6%	23.1%	8.7%
IV	2.5%	10.2%	56.1%	21.6%	9.6%
I 2016	3.1%	11.2%	56.1%	20.6%	9.1%
II	3.7%	12.2%	56.0%	19.6%	8.6%
III	4.6%	13.3%	55.1%	18.6%	8.4%
IV	6.6%	15.2%	53.3%	16.9%	8.0%
I 2017	7.5%	16.1%	52.9%	16.1%	7.5%
II	7.7%	16.1%	52.5%	16.1%	7.7%

Risks to inflation deviating from the projected value are estimated as balanced in both short and medium-term perspectives. Risks deriving from the external sector are primarily associated with the development perspectives in emerging economies (Russia, in particular) and a spillover of their possible effects onto commodities and food product markets. Risks coming from the domestic economy are related to the developments with domestic demand, including how quickly capital investment would recover and how effectively the state budget will perform, as well as to the developments in agriculture sector which is largely reliant on climatic conditions. If such risks materialize, the Central Bank will react accordingly by maintaining the inflation target in the medium run.

In the ***forecast horizon***, credit growth rates will slow down to a certain extent due mainly to a low level of aggregate demand. The Central Bank will look to the target level of the policy rate to adequately react to any shifts in liquidity to make sure money supply is consistent with the demand.

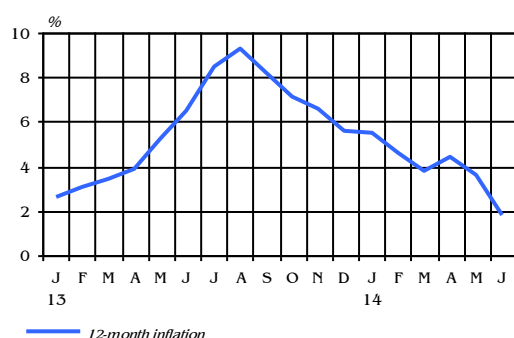
3. ACTUAL DEVELOPMENTS IN Q2 2014

3.1. Inflation

3.1.1. Actual inflation and attainment of target

In the 2nd quarter of 2014, the 12-month inflation rate kept on reducing to 1.8%.

In the 2nd quarter inflation environment eased further, with 12-month inflation rate resting below the lower bound of the band at end-June



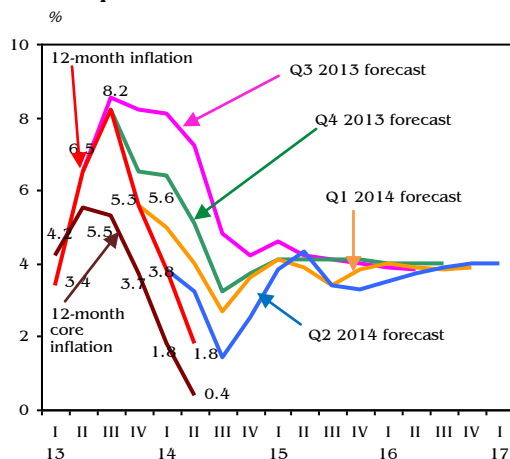
In the 2nd quarter of 2014, the 12-month inflation rate continued falling so the quarter saw a 2.1% of deflation compared to the 0.2% posted in the same period of the previous year. As a result, ***the 12-month inflation rate amounted to 1.8% in late June.*** Again, the quarter's inflation was fuelled by food price changes (a 3.6 % drop and 1.2 pp contribution to headline deflation), with prices in item 'vegetable and potato' having fallen by 38.4% and made 2.4 pp contribution to headline deflation. In the 2nd quarter, egg prices dropped by 16.7%, making 0.2 pp contribution to deflation, whereas some 22.4% rise in prices in item 'fruit' has eased the deflation by 0.8 pp.

12-month inflation by commodity group as main contributors						
Commodity group	March 2014 (y/y)		June 2014 (y/y)		Q2, 2014	
	Growth	Contribution	Growth	Contribution	Growth	Contribution
CPI	3.8		1.8		-2.1	
Food products	1.7	0.9	-0.7	-0.4	-3.6	-2.0
bread products	0.3	0.0	0.9	0.1	1.1	0.1
dairy products	10.0	0.4	6.9	0.3	2.4	0.1
meat products	-1.4	-0.1	-0.8	-0.1	1.4	0.1
fruit	-8.4	-0.3	-2.1	-0.1	22.4	0.8
vegetables and potato	3.6	0.2	-13.7	-0.9	-38.4	-2.4
fats and oils	-5.7	-0.1	-5.6	-0.2	-0.1	0.0
egg	8.5	0.1	-10.5	-0.1	-16.7	-0.2
sugar	-13.1	-0.1	-13.1	-0.1	-1.7	0
confectionery	4.9	0.1	4.2	0.1	0.9	0
Non-food products	2.4	0.3	1.3	0.2	-0.6	-0.1
Services	8.6	2.6	6.8	2.0	-0.1	0.0

In the 2nd quarter of 2014, ***the 12-month core inflation*** continued following a down-trending path, from 1.8% at the end of the previous quarter to 0.4% in late June of 2014.

Below are the arguments and expectations which were used to predict inflation and attain the inflation target in a previous one-year horizon, as well as significant deviations in that period, which necessitated further adjustments in forecasts. ***At the start of the previous one-year horizon, i.e. the 2nd quarter of 2013, the inflation environment came out notably expanded due to a phased out supply shock in agriculture, increased prices of agricultural products as a consequence of hailstorms in May and energy price adjustment since the third quarter.*** To moderate inflation and its second-round effects and to anchor inflationary expectations, the Central Bank envisaged to adjust monetary policy directions by raising the refinancing rate. Once inflationary expectations were phased out, the Central Bank would restart a stimulating policy by cutting the refinancing rate.

According to the Bank's forecasts, the 12-month inflation will continue reducing up until September 2014; after it will gradually expand and stabilize around its target since the 1st quarter of 2015



The aforementioned factors would push *the 12-month inflation rate down to rest within the confidence band since the third quarter of 2013.*

Actually, the developments in agriculture (hailstorms, a partially delayed vegetation period), increased prices of some services and increased energy prices did contribute to the expanding of the inflation environment in the period July-August 2013 as the economy saw 0.7% inflation against 2.0% deflation recorded in the same period of the previous year, which drove the 12-month inflation rate to reach a two-year peak of 9.3% in late August (contributions of increased energy prices, food prices and some service prices were nearly 3.0pp, 0.7 pp and 0.7pp, respectively).

In *August*, the Central Bank raised the refinancing rate by 0.5 pp to 8.5% which was maintained over September, too. This was the Bank's response to the continuous expanding of the inflation environment (the 12-month core inflation also expanded to 5.7% in end-August from 3.5% late in the previous year) and elevated inflation expectations in a short-term perspective. *Keeping real interest rates positive* was aimed at anchoring inflation expectations resulted from domestic developments and easing second-round effects from the increase of energy prices.

Tightened monetary conditions as well as little seasonal rise in prices of some food products in the 4th quarter drove the inflation rate to reduce gradually to near the upper bound of the confidence band, 5.6%.

In view of a moderate inflation environment and anchored inflationary expectations, the *Central Bank gradually loosened the monetary conditions in the 4th quarter of 2013* by cutting the refinancing rate by 0.75 pp to 7.75% at the end of the year.

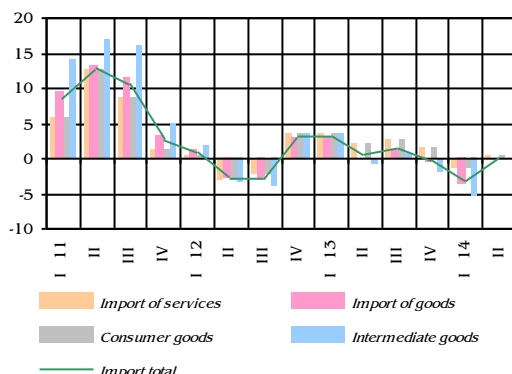
In the first half of 2014, the *12-month inflation continued to decline rapidly than expected*, which was largely attributable to *sluggish economic growth and notable decrease in some food prices* amidst a low level of investment and slowing private consumption growth rates. So, in consideration of a phased out inflationary effect of increased energy prices on domestic prices since July 2014 and expectations of a non-inflationary influences from external and domestic sectors in the medium run, the Central Bank kept on easing the monetary conditions by cutting the refinancing rate *over the first half of 2014* a total of 0.75 pp to 7.0% in late June. Yet inflation subdued farther than expected to post a 0.9% deflation *in the first half of 2014* compared to 2.7% inflation reported for the same period of the previous year, while the 12-month inflation rate dropped to 1.8% in end-June 2014, which is below the lower bound of the confidence band. In the meanwhile though, the *12-month core inflation* has also reduced continuously to 0.4% in late June 2014.

The dram reserve requirement ratio lowered from 4% to 2% since February 2014, which caused reduction in short-term interest rates in the financial market, was another easing-driven measure.

3.1.2. Import prices and producer prices

Import prices: in the 2nd quarter of 2014, the dollar prices of import of goods and services grew somewhat, by 0.6% q/q, with the y/y economic growth having posted almost a zero growth – 0.1%. Prices of services, consumer and intermediate goods remained roughly the same compared with the previous year. The rise in oil prices made a 0.3 pp of positive contribution to the group of intermediate goods, whereas gold and iron prices posted a decrease which offset the influence of oil price increase. The dollar prices of consumer goods were fuelled mainly by the rise in dollar prices in EU. Though the dollar prices in Russia and Turkey went up during the 2nd quarter by 1.8% and 7.8% q/q, they are still below the level recorded in the same period of the previous year. The dollar price drop of nearly 19.0% in Ukraine was the largest negative contribution (0.3 pp) to the dollar prices of consumer goods.

In the 2nd quarter, dollar prices of import of goods and services posted almost a zero growth, y/y, %

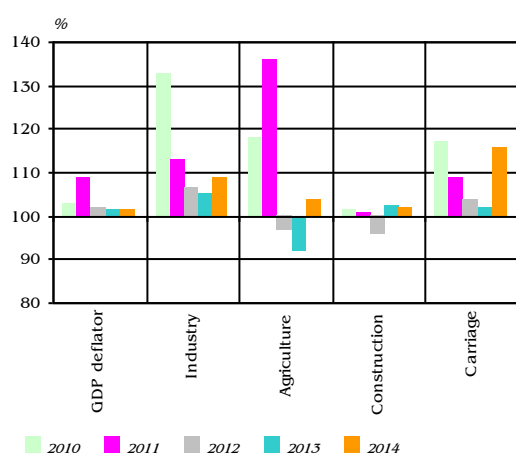


Producer prices¹²: in the 2nd quarter of 2014, all sectors of the economy posted increased price indices, and the GDP deflator in the period January-June reported 1.4% increase y/y.

Industry posted a quarterly growth of 11.9% y/y, with the January-June growth having amounted to 8.7% y/y, owing to growths in *ore mining* (3.8%), *processing industry* (0.8%) and *energy and gas production and distribution* (46.6%). Note that the latter is a result of energy price increase since July 1, 2013.

Agriculture reported 3.8% y/y increase in prices¹³ during the 2nd quarter, with the January-June growth of 3.7% y/y, owing to plant growing and animal breeding having posted 8.6% and 2.7% price increases, respectively. The price rise in plant growing is due to increased prices in items “potato and vegetables” (7.4%), “fodder” (6.5%), “fruit and berries” (25.7%) and “honey” (11.5%); increased prices in animal breeding were mainly attributable to 10.5% and 13.4% rise in *milk and dairy products* and *egg*, respectively.

In January-June 2014 prices were highest in Carriage subsector



Construction reported some 1.4% y/y price growth during the 2nd quarter, with the January-June growth of 1.7% y/y, mainly attributable to the wage increases in the branch.

Carriage reported 14.9% y/y rise in prices in the 2nd quarter, with the January-June price growth having amounted to 15.5% y/y, owing to risen tariffs on *railroad transport* (11.9%), *pipeline transportation* (40.8%) and *air transport* (0.1%). Note that much higher rates in pipeline transportation are mainly due to the increase in energy prices.

3.1.3. Inflation and interest rate expectations

The results of the 2nd quarter 2014 surveys on financial sector and household expectations of selected macroeconomic indicators suggest that inflationary expectations were revised

¹² The price index change as of January-June 2014 is relative to the same period of the previous year unless otherwise specified.

¹³ Sales prices of producers of agricultural product are presented.

slightly upside for an upcoming one-year horizon. Indeed, such a development is mainly consistent with the Central Bank forecasts for the period. Thus, most banks anchored their expectations of the 12-month inflation around a 5-percent range versus previously expected 4.7%, credit organizations in the region of 4.8% against 4.2%, whereas households' inflationary expectations moved downward, to 4.6% against 4.9%.

According to the survey results, expectations of market rates for a one-year horizon remained primarily steady.

3.2. Aggregate supply and Aggregate demand

3.2.1. Aggregate supply¹⁴

The *economic growth indicator* published for the 1st quarter of 2014 was 3.1% y/y, which is 0.3 pp smaller from the Central Bank forecast.

Economic activity in the 2nd quarter of 2014 was again slow, which is why the first half's economic activity has remained nearly unchanged, making up 3.4% y/y compared to 3.3% y/y recorded in the period January-March.

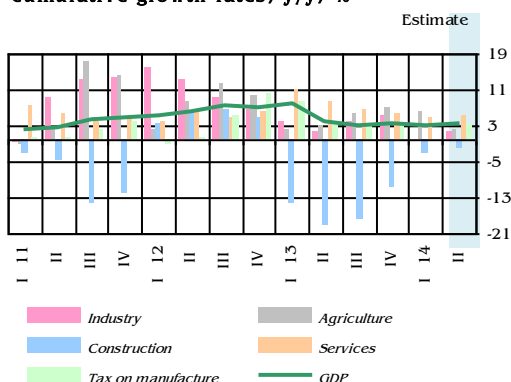
Thus, taking into account a lower-than-expected output growth in industry and agriculture and negative developments in construction in the 2nd quarter of 2014, the economic growth estimates were revised downside. As a result, economic growth in the first half of 2014 will be expected in the range of 3.4-3.6%¹⁵.

Economic growth in the first half of 2014 will be expected within 3.4-3.6%.

In *Industry* in the first half of 2014, the growth of value added is estimated in the range 1.2-1.7% y/y, mainly due to increased output in *food products*¹⁶ (2.3%), *metallurgy* (9.8%), *tobacco production* (34.3%) and *water supply and sewage* (3.7%). A reduced growth rate in the sector is primarily a result of slowdown in domestic and external demand.

In view of actual developments in *Construction* reported for the first half of 2014, the decline of value added is estimated within 1.5-2% y/y. Excluding reduced volumes of construction financed by *households* (a 24.8% decline) and *humanitarian aid* (a 39.1% decline), all other sources of construction financing posted growths, as follows: *organizations* (3.4%), *international credit* (76.9%), *state budget* (3.9%), and *local community budgets* (87.2%).

Actual real GDP and economic sector cumulative growth rates, y/y, %



¹⁴ The indicators of real growth of value added in sectors of the economy for January-June 2014 y/y are the Central Bank's estimates whereas the indicators of sub-sectors represent y/y growth rates in output volumes for January-June 2014, unless otherwise specified.

¹⁵ See a 30-percent probability of Real GDP Growth (Cumulative) Projection Probability Distribution Chart.

¹⁶ Increased output was mainly due to capacity growth in producing meat (4%), meat products (16.5%), meat prepacks (19.3%), milk (5.1%), cheese (3.1%), animal fat (2.2-fold), macaroni (17.5%), sugar (36.5%), flour (48.4%), confectionery (8.1%) and ice cream (28.9%).

In **Services**, the growth of value added for the first half of 2014 is estimated in the region 4.9-5.3% y/y as a result of volumes of services rendered and trade turnover having increased by 4% and 5.6%, respectively. The increase in the volume of services rendered was driven by growth in transport (7%), banking services (0.4%), events, leisure and rest (27.9%), real estate transactions (13.5%), travel services (24.4%), advertising (8.1%) and healthcare (3.3%), respectively.

In **Agriculture**, the growth of value added for the first half of 2014 is estimated in the range 2-2.5% y/y, due to increased outputs in animal breeding and fishing but a slump in plant growing by 5.1%, 20.7% and 6.9%, respectively. Reported increases in *milk production*, *egg production* and *slaughtered animal and poultry production* by 5.2%, 4.2% and 7.5%, respectively, contributed to the overall growth in *animal breeding*. However, a slump in plant growing was due to 78.3% reduction in *berries*, which was partly offset by increased production of *potato* (68.6%), *grain* (38.5%), *vegetables* (33.7%), and *gourds and melons* (4.5-fold).

In the 2nd quarter, private consumption grew by 4.1%.

3.2.2. Aggregate demand¹⁷

According to the Central Bank estimates, private consumption in the 2nd quarter of 2014 grew by 4.1%. Compared with previous forecasts, the second quarter's growth is estimated to be lower, which in turn is driven by lower-than-expected levels of remittances from Russia as well as less public spending and slower overall economic activity.

It should be noted that although private consumption growth in the 2nd quarter is still below a steady level, it tended to bounce back after a slump in the 1st quarter.

The negative growth of private consumption in the 1st quarter was because of persisting effect of increased gas and electricity prices in the second half of the previous year, which however phased out during the 2nd quarter this year and led to increased private consumption costs amid fast-growing consumer lending.

The trade-related indicators published by the National Statistics Service and the Consumer Confidence Index¹⁸ calculated by the Central Bank point to the above developments with private spending. In particular, during the 2nd quarter of 2014, relative to the same period of the previous year, the CCI has increased by 5.1%¹⁹, demonstrating somewhat a faster rate in comparison with the first quarter's 1.6% growth.

¹⁷ The private spending, private consumption and private investment data for the 2nd quarter of 2014 are the Central Bank estimates based on actual 1st quarter of 2014 data. Growth estimates in this sub-section are relative to the same quarter of the previous year, unless otherwise specified.

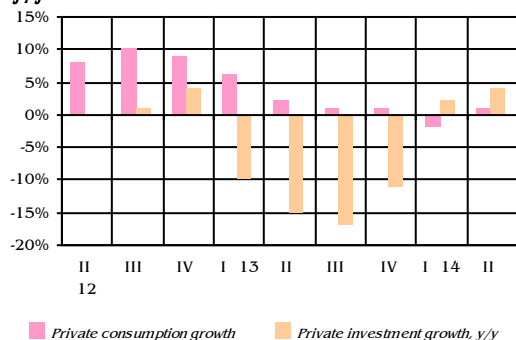
¹⁸ See <https://www.cba.am/am/SitePages/statssccl.aspx>.

¹⁹ The y/y growth rates of real indices of retail trade are presented.

The CCI dropped compared to the 2nd quarter of the previous year by 3.2% to 41.6, pointing to private spending demonstrating somewhat a weaker growth trend. Note, however, that the CCI has risen by 2.0% relative to the 1st quarter, which indicates faster growing final private consumption expenditures in the 2nd quarter.

In the 2nd quarter, private investment growth is an estimated 5.4%.

Private consumption and investment growth, y/y



In the 2nd quarter of 2014, the *investment climate* in the economy was somewhat weaker, reflecting persisted decline in construction and sluggish economic activity. Relative to the 1st quarter however, there is a slight improvement in investment activity, so private investment growth in the 2nd quarter is estimated 5.4%.

The results of the Central Bank investment surveys²⁰ of Armenian companies point to the low investment activity during the 2nd quarter.

In the 2nd quarter of 2014, 24% of the companies surveyed made investment; this is below the Armenian economy's average historical figure. Note however, that the share of companies which invested during the 2nd quarter is higher relative to the previous quarter and the 2nd quarter of the previous year by 2 and 7 percentage points, respectively, which reflects a slight improvement in investment activity.

According to the survey, the number of investor companies is relatively large in industry and trade sectors, whereas the number of companies investing in construction further trended downward.

In the face of slow private consumption and investment growth rates, in the 2nd quarter of 2014 *private spending* posted 4.2% growth in relation to the 2nd quarter of the previous year. This expanded the domestic demand by 3.1% amid some 3% decrease in government spending in real terms.

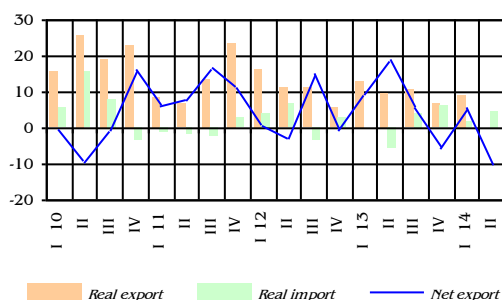
On the back of the aforementioned developments with private consumption and investment, the private spending gap in the 2nd quarter of 2014 is estimated largely negative, with a 1.2-1.3 pp of contractionary impact on the inflation.

In the 2nd quarter of 2014, the growth rates of export of goods and services in real terms lagged behind those of import and amounted merely to 0.2% y/y. The growth rates²¹ of import of goods and services in real terms accelerated in relation to the 1st quarter and reached 4.7% y/y²².

In the 2nd quarter of 2014, growth rates of net inflow of non-commercial remittances of individuals via the banking system slowed down to 1.1% y/y.

In the 2nd quarter, negative balance of net export grew

(net real exports, y/y, %, positive sign means improvement)



²⁰ See <https://www.cba.am/am/SitePages/statsseabci.aspx>.

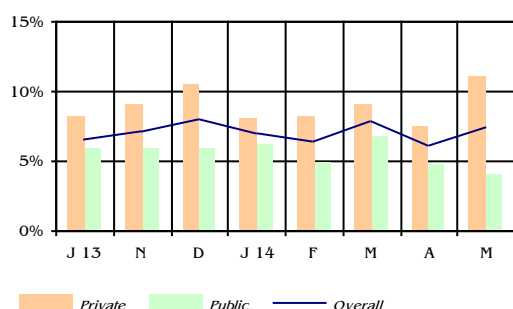
²¹ The real export and import growth indicators are the Central Bank estimates.

²² Export and import developments were also attributable to such events as technical obstacles in Upper Lars checkpoint on the Georgia-Russia border and an unusually high amount of automobiles imported to Armenia by individuals.

3.2.3. Labor market²³

Actual developments in the period April-May 2014 denote that the **growth rate in nominal wage** in the 2nd quarter was consistent with previous forecasts and is an estimated 7.3%.

Nominal wage growth, y/y



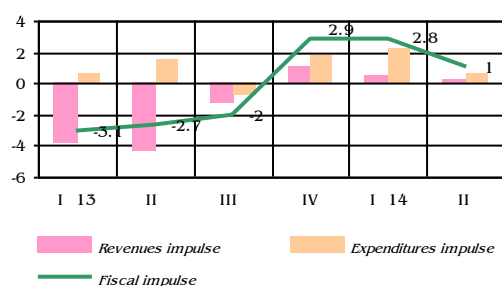
Moreover, the private sector wage growth was much higher compared to the wage growth in the public sector. In the 2nd quarter, the private sector wage growth is an estimated 9.5%, and in the public sector, 4.6%. The increase of the minimum salary threshold as well as certain rise in wages in the private sector in the context of the funded pension reform notably contributed to the nominal wage increases in the private sector.

In the 2nd quarter of 2014, relative to the same period of the previous year, the **unemployment rate** has increased by 0.8 pp to 17.0%, which is attributable to excess labor supply over existing demand. Specifically, in the 2nd quarter economically active population grew by about 5%, while the number of employed grew by 4.1%.

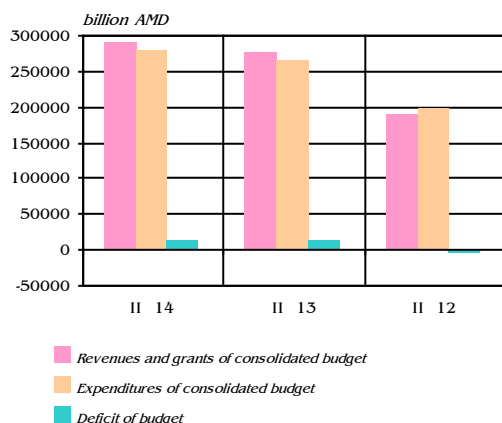
With such developments in the labor market, in the 2nd quarter of 2014 the economy saw increased productivity whilst the wage growth was in line with added productivity. Consequently, one may state that the effect of the labor market on inflation in that period of time was neutral.

In the 2nd quarter, the fiscal sector's impact on aggregate demand was 1.0 expansionary, instead of an expected 2.8.

In the 2nd quarter, expansionary impact of the fiscal policy is attributable to expenditures with their expansionary effect



Performance of main indicators of consolidated budget



3.2.4. Fiscal policy²⁴

In the 2nd quarter of 2014, State Budget generated revenue somewhat underperformed against the quarterly projections and the Central Bank forecasts but posted considerable cost savings on certain expenditures items. According to the fiscal impulse indicator, the fiscal sector's impact on aggregate demand was weaker, 1.0 expansionary, instead of an expected 2.8. The deviation is largely due to an expenditures impulse which came in 0.7 expansionary instead of a projected 1.8 expansionary.

Revenues of the consolidated budget have grown by 4.8% in relation to the 2nd quarter of the previous year, with tax revenues having increased by 6.0% y/y. Nevertheless, actual taxes collected during the quarter were AMD 6.3 billion less than the adjusted quarterly plan²⁵. As a result, the revenues impulse was 1.4 expansionary instead of a projected 1.0 expansionary.

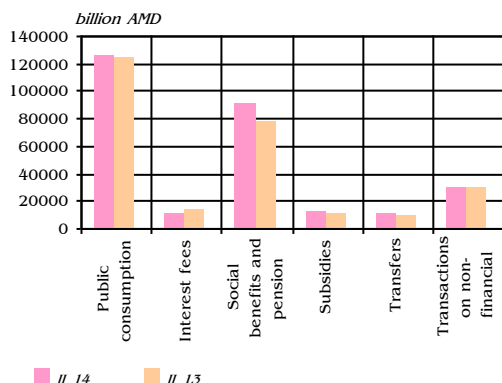
Relative to the 2nd quarter of the previous year, the growth of indirect taxes was an estimated 11.5% and the direct taxes, 5.8%. The share of indirect rose by 2.0 pp to 49.4% of tax

²³ The labor market data for 2014 are the Central Bank estimates which are based on the 1st quarter of 2014 data and actual April-May 2014 figures. The growth indicators represented in this sub-section are relative to the same quarter of the previous year, unless otherwise specified.

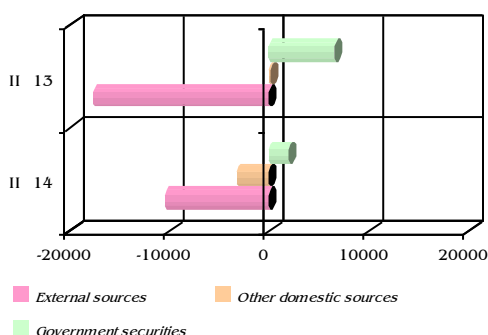
²⁴ Consolidated budget indicators which were prepared on the basis of preliminary actual data of the 2nd quarter of 2014 (PIU funds included) were used for the review of the fiscal sector. The impact of revenues was calculated in respect of the nominal GDP indicator while the impact of expenditures in respect of the estimated potential GDP indicator.

²⁵ The State Budget Law 2014 was adjusted under the Republic of Armenia Government resolutions (<https://www.e-gov.am/gov-decrees/>).

In the 2nd quarter, all expenditures items of the budget posted increases



In the 2nd quarter, like in the 2nd quarter last year, budget was run with surplus (billion AMD)



revenues but the share of direct tax remained the same, 43% of tax revenues, whereas the share of other taxes shrank to 7.5% in total.

Other revenues exceeded the 2nd quarter program indicator by nearly 1.8-fold.

Public expenditures reported reduced performance against both an adjusted quarterly plan and the Central Bank forecast, as they amounted to 89.6% and 89%, respectively. However, compared to the same period last year, there was nearly 5.6% growth posted for consolidated budget expenditures. Furthermore, expenditures have grown due to current expenditures but item "transactions with non-financial assets" posted some decrease, amounting to 6.4% and 0.8%, respectively. All current expenditure items posted increases, with **public consumption** having increased by 1.6% compared to the **previous** reference period. Reduction in item **"transactions with non-financial assets"** was due to fewer programs which receive financing from external sources as well as less spending from domestic sources.

In the 2nd quarter of 2014, with revenues and expenditures figures shown above, the budget posted a surplus of AMD 11.7 billion instead of a deficit of AMD 9.8 billion as was projected under the program adjusted for the quarter.

3.3. Money and financial market developments

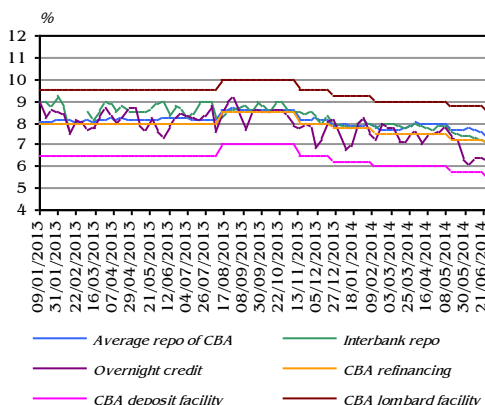
3.3.1. Financial market, money and credit

In the 2nd quarter, the Central Bank reacted to rapidly decelerating inflation rates and still sluggish economic activity forecasts by repeatedly loosening the monetary conditions through interest rate cuts in May and June by 0.25 pp each time to 7.25% and 7.0%, respectively. This was aimed to create favorable conditions for attaining the inflation target in the medium run.

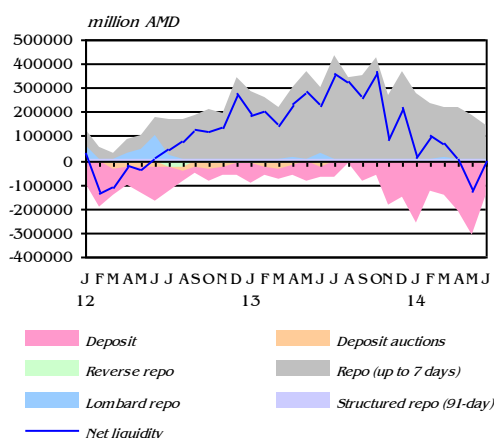
During the quarter, the 7-day repo rate, main instrument of the Central Bank, trended in line with the refinancing rate: the average rate for June was 0.2 pp lower from March average. The reducing came in May-June, making up 0.4 percentage point. Note that average quarterly repo rate remained almost unchanged, 7.79%, as a result of a 0.2 pp increase in April and relatively large amounts of available liquidity (increased demand for dram resources was largely due to some depreciation of the local currency versus the U.S. dollar).

In the 2nd quarter, the Central Bank reacted to rapid deceleration of inflation rates and still sluggish economic activity trends by loosening the monetary conditions.

Short-term interest rates dropped during the quarter



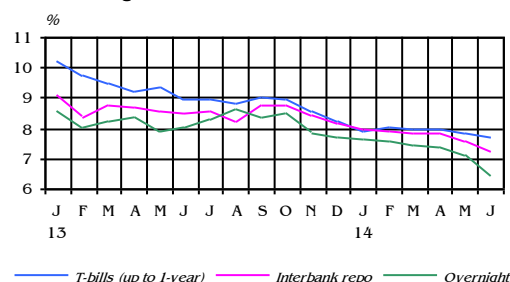
Operations carried out by the Central Bank



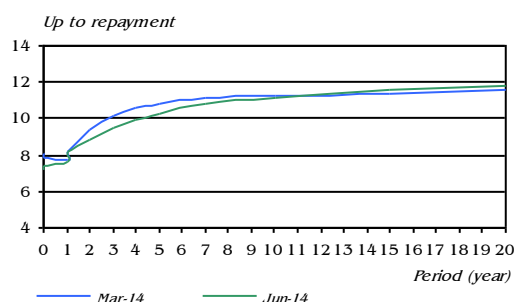
Operations carried out by the Central Bank						
Period	Repo (up to 7 days)		Funds attracted		Lombard repo	
	Value (million AMD)	Weighted average %	Value (million AMD)	Weighted average %	Value (million AMD)	Weighted average %
I 2013	763,825.90	8.09	163,700	6.50	944.60	9.50
II	929,077.62	8.19	176,300	6.50	38,652.30	9.50
III	1,121,106.19	8.42	176,300	6.75	5,278.56	9.50
IV	1,064,987.41	8.31	392,300	6.71	500.00	10.0
I 2014	705,234.27	7.80	535,000	6.17	19,354.29	9.05
II	541,050.17	7.79	644,050	5.88	2,689.53	8.75

In the 2nd quarter of 2014, **short-term interest rates of the financial market further trended downward**. The average quarterly overnight loan interest rate has dropped by 0.39 pp in relation to the previous quarter; the average June rate has fallen relative to the average March rate by 1.04 pp to 6.40%. Relative to the previous quarter, the market repo rate has reduced by 0.3 pp; the average June rate has fallen relative to the average March rate by 0.59 pp to 7.27%. In the T-bills market too, the rates reacted to the Central Bank's policy rate change.

During the quarter, short-term interest rates trended down as the Central Bank cut the refinancing rate



In the T-bills market in the 2nd quarter, medium and long-term rates dropped



Box 2

Government securities market

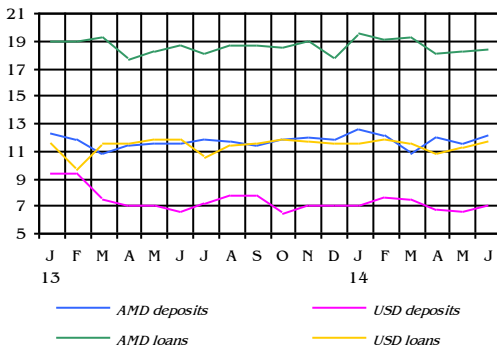
In the T-bills market, the declining trend in short-term interest rates was perhaps less pronounced than in other segments of money market: the average quarterly rate of up to 1-year bills was 7.83% in the 2nd quarter; this was 0.15 pp smaller against the previous quarter, whilst average June rate has dropped relative to average March rate by 0.25 pp to 7.73%.

According to yield to maturity curve, interest rates in the secondary T-bills market have reduced almost all along the curve, except for the long-term segment where interest rate grew in end-June by 0.16 pp to 11.75%. The long-term and short-term interest rates spread rose in June by 1.06 pp to 4.53 pp.

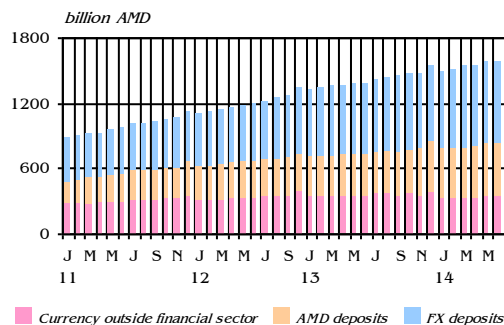
In the 2nd quarter of 2014, relaxed monetary conditions as well as an altered reserve requirement ratio pushed down interest rates of short-term financial market instruments and of deposits and loans. Note that although increasing competition between banks contributed to reduced interest rates of loans, interest rates of dram deposits did not fall as a matter of fact.

Average quarterly dram deposit rate has not changed compared to the previous quarter and stood at 11.9%. During the quarter, the volume of dram deposits grew by 5.4%, mostly

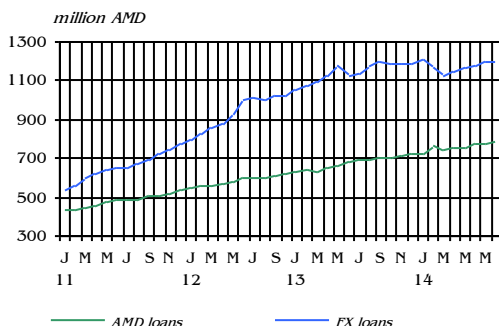
Dynamics of interest rates of funds in AMD and foreign currency



In the 2nd quarter, growth of AMD deposits outpaced that of FX deposits



In the 2nd quarter, FX loans again outnumbered in total lending portfolio



owing to the growth of dram demand deposits, 8.0% and dram time deposits, 3.8%.

In the 2nd quarter of 2014, interest rates of dram loans dropped. The average quarterly dram loan interest rate has fallen by 1.1 pp relative to the previous quarter to 18.2%.

The results of surveys on terms of lending provided by Armenian banks and credit organizations also point to the reducing interest rates of both business and consumer credit.

In the 2nd quarter of 2014, foreign currency lending rates dropped as well, with average quarterly interest rate having reduced by about 0.3 pp to 11.3%. The share of foreign currency loans lagged behind that of dram loans, making up, respectively, 2.5% and 3.5%, yet in total lending, the foreign currency loans still prevail (60%). During the quarter, the total credit growth amounted to 3.2 % (with y/y growth of 14.1%), and to AMD 62.9 billion in absolute terms.

During the quarter, interest rates of foreign currency deposits fell by 0.6 pp against the previous quarter's average to 6.8%. Foreign currency deposits posted some 0.6% growth; the growth of demand deposits was somewhat offset by reduced volume of time deposits.

Credit volumes and interest rate behavior were congruent with the results of survey on the terms of lending provided by banks and credit organizations functioning in Armenia.

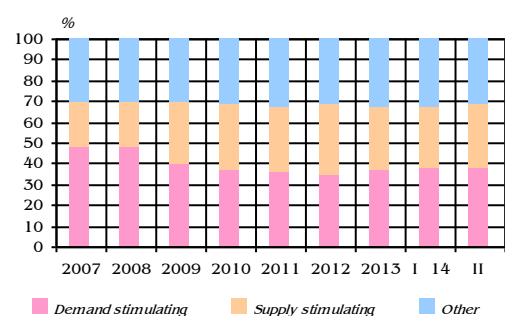
Box 3

The results of the 2nd quarter 2014 survey on terms of lending provided by Armenian banks and credit organizations show there has been further easing of the terms of lending to businesses and the terms of consumer credit. The terms of review of interest rate, collateral requirements, a loan to value ratio and borrower creditworthiness were further eased. There was some decelerating in easing of the terms of mortgage loans. Demand has increased for household loans (consumer and mortgage loans) but declined for business loans. Demand came in somewhat contracted for both large and SME loans, with borrower base reduced as well as economic activity slowed down in some sectors.

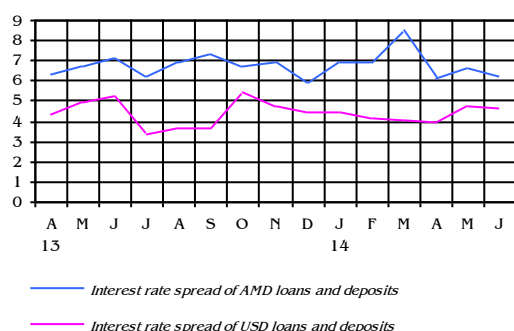
Easing of terms of all types of loan products and lending procedures will carry on during the 3rd quarter of 2014. The procedures and conditions for business loans, SME lending and consumer loans in particular, are expected in the form of reduced interest rate of the loan. The 3rd quarter will possibly see an increased demand for all types of loan products.

Unlike the previous quarter, a trend of narrowing spread of interest rates of dram loans and deposits bounced back in the 2nd quarter. The spread came in 1.1 pp reduced in relation to the previous quarter, making up 6.3 pp. The average quarterly

The share of supply stimulating loans grew in total lending²⁶



In the 2nd quarter, the spread of interest rates of FX loans and deposits narrowed



spread of interest rates of foreign currency loans and deposits grew by 0.1 pp to 4.4 pp.

A negligible growth of foreign currency deposits (in comparison with surpassing growth of dram deposits) in the 2nd quarter of 2014 reflected the dollarization indicator: during the quarter, the dollarization (a ratio of foreign currency deposits to broad money) reduced by 1.2 pp against the previous quarter. The foreign currency lending indicator which stood behind that of the dram lending can also point to the subsiding dollarization.

Monetary indicators	March 12-month inflation	June 12-month inflation
Broad money (%)	12.84	14.78
Dram broad money (%)	10.92	14.26
Base money (%)	20.84	8.21
Dram base money (%)	1.67	4.49
Currency (%)	-4.49	-1.19
AMD deposits (%)	25.27	28.59
FX deposits (%)	14.95	15.36
Dollarization (percentage point)	0.89	0.24
Money multiplier (percentage point)	-0.14	0.13
Dram multiplier (percentage point)	0.12	0.12

3.3.2. Exchange rate

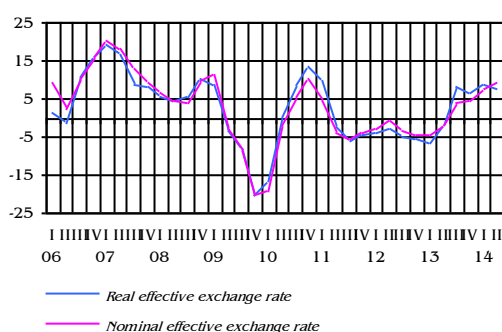
In the 2nd quarter of 2014, trade partners' average weighted exchange rate kept on depreciating versus the U.S. dollar, by 2.1% q/q. While the previous quarter's steep quarterly exchange rate depreciation was driven by national currencies depreciated in Russia, Ukraine and Turkey, the depreciation this quarter depended primarily on steeply depreciated Ukrainian currency due to geopolitical developments (which was nearly 32.0% q/q). Moreover, it added some 2.3 pp of positive contribution to the real effective exchange rate of the Armenian dram. Even with relative deceleration of the inflation rate in Armenia and some 0.4% average quarterly depreciation of the dram's nominal exchange rate, the real effective exchange rate has depreciated merely by 1.5% q/q²⁷. Also, notwithstanding the dram's average nominal exchange rate depreciation relative to the previous quarter's average, it showed a feeble sign of appreciation, which enabled the Central Bank to act at the time as a net buyer of foreign currency in the foreign exchange market to smooth out sharp currency fluctuations.

As for the change to the same period of the previous year, real exchange appreciation rates remained strong, 7.7% y/y, with nearly 8.7 pp of which driven by trade partners' high average weighted y/y depreciation rates (the difference is due to fast pacing y/y inflation in trade partners during the 2nd quarter). The latter continues to incur the effect of the Iranian rial which depreciated in the 3rd quarter of the previous year as well as an influence of high depreciation rates of the Ukrainian currency since the start of the year.

²⁶ Supply stimulating credits, loans to industry, agriculture and transport and communication were conventionally taken from the overall lending portfolio.

²⁷ The Q2 2014 real exchange rate indicator is the Central Bank estimate.

In the 2nd quarter, real effective exchange rate further appreciated, y/y, %



y/y growth, %	Q1 13	Q2 13	Q3 13	Q4 13	Q1 14	Q2 14
Real effective exchange rate (+ means appreciation)	-6.4	-1.6	7.9	6.8	8.5	7.7
Average inflation in Armenia	3.0	5.2	8.7	6.4	4.6	3.3
AMD/USD average nominal exchange rate (+ means appreciation)	-5.1	-3.3	0.5	0.2	-0.4	0.5
Average weighted inflation in trade partner countries	4.5	4.4	4.3	4.0	3.7	4.5
Partner countries' average weighted nominal exchange rate (+ means appreciation versus dollar)	-0.4	-1.1	-3.2	-4.3	-8.0	-8.7

Real exchange rate appreciation = Inflation in Armenia + Nominal exchange rate appreciation – Partner countries' average weighted inflation – Partner countries' average weighted nominal exchange rate appreciation

Box 4

Foreign exchange market

At the end of the 2nd quarter of 2014, relative to the end of the previous quarter, the average market exchange rate of the Armenian dram versus the U.S. dollar has appreciated by 1.48% to 407.28 drams for one dollar.

The table below shows the dram's behavior versus the U.S. dollar, Euro and Russian ruble:

Dram exchange rate versus US dollar, Euro and Russian ruble, Q2, 2014

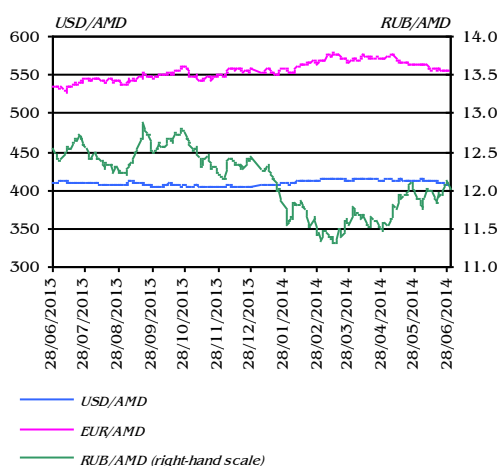
Dram exchange rate dynamics (end Q2 2014 to end Q1 2014)			
Currency pair	Exchange rate as of 31.03.2014 (AMD)	Exchange rate as of 30.06.2014 (AMD)	% (appreciation "+", depreciation "-")
USD/AMD	413.31	407.28	1.48
EUR/AMD	569.91	556.06	2.49
RUB/AMD	11.69	11.99	-2.50
Dram exchange rate dynamics (end Q2 2014 to end Q2 2013)			
Currency pair	Average exchange rate, Q2, 2013	Average exchange rate, Q2, 2014	% (appreciation "+", depreciation "-")
USD/AMD	414.90	412.84	0.50
EUR/AMD	541.69	566.05	-4.30
RUB/AMD	13.11	11.81	11.01

The aggregate volume of U.S. dollar/Armenian dram transactions in the foreign exchange market during the 2nd quarter amounted to USD 2.85 billion, which represents a 2.9% increase in relation to the figure reported in previous reference period (AMD 2.77 billion)²⁸.

The aggregate volume of Euro/Armenian dram exchange transactions reached EUR 223.98 million against EUR 192.73 million recorded in the previous quarter.

To tackle the dram exchange rate volatility against the U.S. dollar in the market during the 2nd quarter of 2014, the Central Bank bought a total USD 17.05 million.

Dram exchange rate versus US dollar, Euro and Russian ruble in a year



²⁸ The aggregate volume of the 1st quarter 2014 U.S. dollar/Armenian dram transactions has been adjusted.

3.4. Balance of payments²⁹

In the 2nd quarter of 2014, the current account deficit deteriorated y/y, mainly due to an increased balance of trade deficit. The current account deficit financing amidst notably narrowed net inflow of funds through the capital and financial account came mainly at the expense of net foreign assets of the Central Bank. The decrease of the latter was due to regular installments on foreign debt and net outflow of commercial banks' foreign currency with the Central Bank used for reserve requirement.

3.4.1. Current account

In the 2nd quarter of 2014, with relatively weak external demand and real exchange rate y/y appreciation, the current account deficit continued to grow. Compared to the 2nd quarter of 2013, the current account deficit increased by USD 49.1 million (1.2 percent of GDP) and amounted to USD 241.0 million.

In view of slowing external demand caused by economic developments in Russia and the Euro area as well as somehow decelerated growth rates in agricultural output, the 2nd quarter saw very low growth rates, 0.2% y/y, of real export volumes. The export growth has been hampered in part by technical problems arisen in the Lars checkpoint. Under such conditions, as international base metals prices turn steadier and the dollar prices in trade partner countries fall during the quarter, the dollar value of exports grew by 0.3% y/y only. This was driven mostly by items "products of prepared food", "textiles", "precious and semiprecious stones, precious metals and articles made thereof", with their positive contributions of 2.0 pp, 1.5 pp and 2.9 pp, respectively. Items "products of vegetable origin", "ore and minerals" and "non-precious metals and articles made thereof" had 3.0 pp, 2.1 pp and 1.9 pp of negative contribution, reflecting a slowdown in agricultural output, reduced real exports of unrefined copper and the effect of lower international copper prices, accordingly.

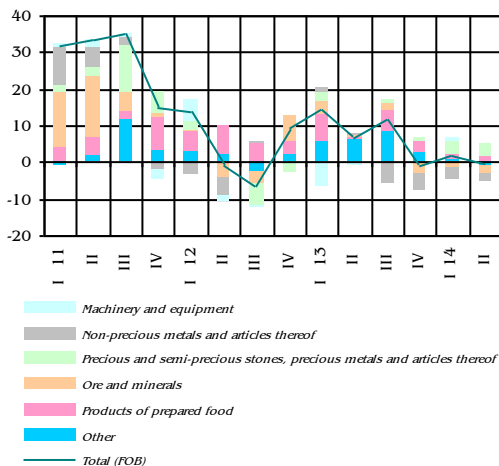
It is noteworthy that amid economic slowdown in the EU and Russia, the share of Armenian export there has reduced.

Despite weak domestic demand, rebounded private spending growth in the 2nd quarter led to faster growth rates of real import of goods, which resulted in a 4.7% y/y increase of the dollar value of imports in the face of almost zero y/y growth of import prices (see section "Import and Producer Prices").

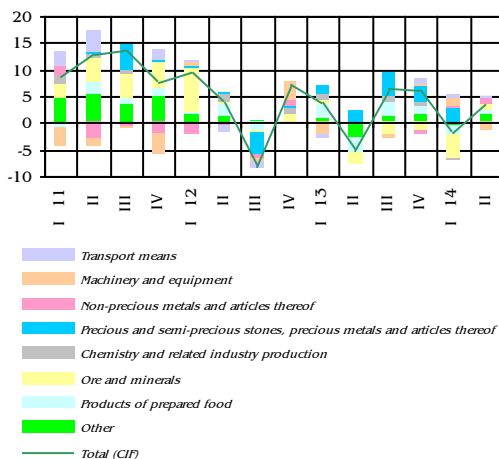
Therefore, the import of goods in the 2nd quarter of 2014 were fuelled by the following items "products of prepared food",

In the 2nd quarter, the current account deficit continued to grow amidst relatively weak external demand and real exchange rate y/y appreciation.

Change in export y/y and main commodities contribution, %³⁰



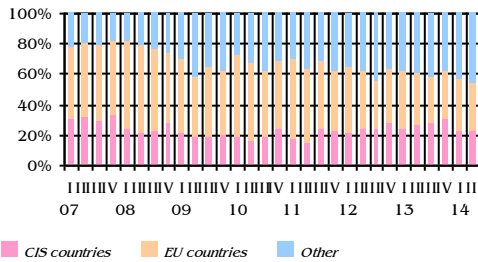
Change in import y/y and main commodities contribution in the 2nd quarter, %



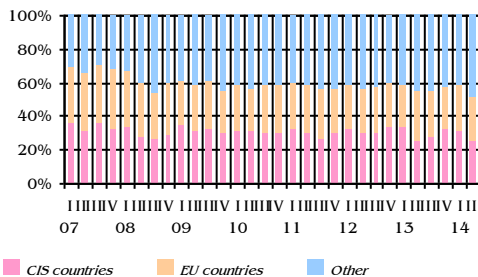
²⁹ Now and on, the balance of payments figures will be presented according to the new balance of payments methodology (BPM6). The Q2 2014 figures are the Central Bank forecasts and estimates.

³⁰ Export and import indicators by commodity and by country are in FOB and CIF prices, and export and import of the current account, by debit and credit, respectively.

Export by country group

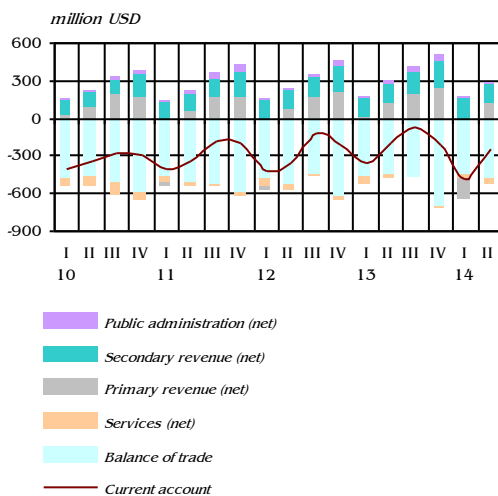


Import by country group



U.S. dollar-denominated growth rates of remittances of individuals considerably slowed down amidst economic difficulties in Russia and depreciated ruble.

In the 2nd quarter, the current account deficit grew, y/y



“ore and minerals” and “products of vegetable origin”, with their positive contributions of 0.7 pp, 0.9 pp and 0.8 pp, respectively. At the same time, due to certain expectations Armenia has in terms of joining the Eurasia Economic Union, the 2nd quarter posted growth in item “transport means” which again contributed positively to the growth of imports (the growth of quantitative and dollar value of import of passenger cars by individuals over the first half of 2014 was 75.6% y/y and 43.1% y/y, respectively). With a weak investment demand persisting, the import of investment goods has declined. Thus, items “machinery and equipment” had a 1.2 pp of negative contribution whereas items “precious and semiprecious stones, precious metals and articles made thereof” and “non-precious metals and articles made thereof” contributed positively, by 0.1 pp and 1.0 pp, respectively.

Although the terms of trade improved, in the 2nd quarter of 2014 the deficit of trade balance grew by USD 38.6 million to USD 490.4 million.

In the 2nd quarter, the deficit of balance of services increased by USD 3.4 million y/y to USD 36.0 million, due mainly to the deficit of balance of transport services widened as a result of the deficit of trade balance. The y/y growth of export and import of services was 4.8 and 5.5%, respectively.

In the 2nd quarter of 2014, the U.S. dollar-denominated growth rates of remittances of individuals³¹ considerably slowed down amidst economic difficulties in Russia and depreciated ruble. During the quarter, net inflow of item “employee remuneration” posted an increase of 1.2% y/y and amounted to USD 227.0 million, which is higher from the net outflow figure in item “income on investment”. As a result, item “initial income” posted net inflow of USD 117.6 million. The dollar value of net inflow of item “secondary income” (save for public administration) remained roughly the same, USD 155.0 million.

3.4.2. Capital and financial account³²

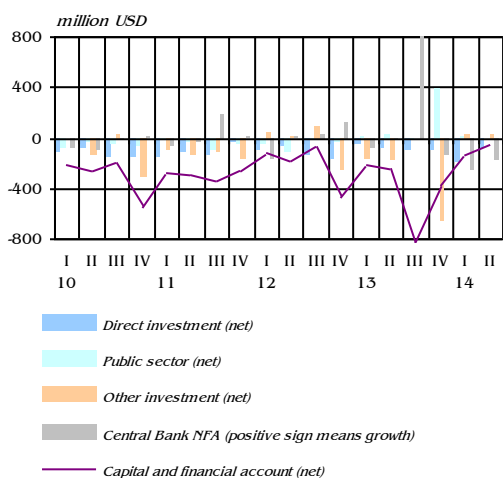
With the current account deficit grown, net inflow through the capital and financial account notably reduced during the 2nd quarter to USD 60.0 million. The decrease was primarily due to net outflow of funds through item “other investment”.

Amidst low domestic investment activity as well as economic austerity in main trade partners, foreign investment inflows remain rather low. In the 2nd quarter of 2014, net inflow of foreign direct investment was the same in relation to the previous reference period, USD 85.8 million.

³¹ The 2nd quarter of 2014 posted 1.1% y/y growth of net inflow of non-commercial transfers of individuals via the banking system.

³² The 2nd quarter of 2014 capital and financial account figures are the Central Bank forecasts and estimates.

In the 2nd quarter, net inflow through capital and financial account narrowed (+ net credit, - net borrowing)



Items of the balance of payments posted net inflows on the part of capital transfers, which amounted to USD 15.4 million in the 2nd quarter against USD 18.6 million recorded in the same period last year. The public sector generated a small amount of net inflow of about USD 1.3 million. However, item “other investment” reported nearly USD 26.0 million-worth net outflow compared with net inflow of USD 189.5 million in the 2nd quarter of the previous year. This was mostly attributable to the banks’ net foreign assets having increased by USD 118.0 million, whereas the private sector continued funding the financial account with nearly USD 92 million-worth net inflow of capital.

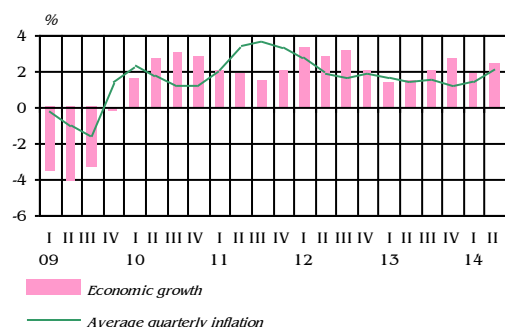
Notwithstanding the Central Bank’s net purchase of foreign currency from the foreign exchange market, which was used to add to international reserves, a y/y increase in current account deficit amid weak inflow of funds through capital and financial account resulted in a decrease in the Bank’s net foreign assets by USD 181.1 million. The decrease was explained by regular installments on foreign debt and net outflow of commercial banks’ foreign currency with the Central Bank used for reserve requirement.

3.5. External environment

In the 2nd quarter, save for the U.S.A., some slowing of economic activity was observable in Armenia’s main trade partners.

In the 2nd quarter of 2014, save for the U.S.A., trends of slowing economic activity were observable in Armenia’s main trade partners.

In the 2nd quarter, economic growth in U.S.A. accelerated



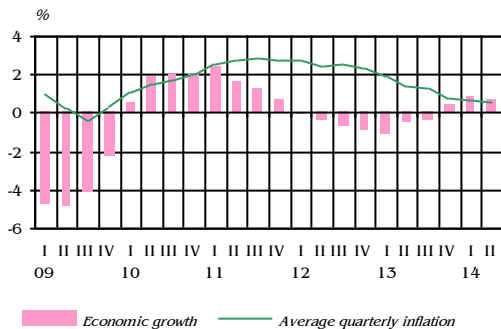
According to preliminary estimates of the U.S. Department of Commerce Bureau of Economic Analyses, in the 2nd quarter of 2014 the annualized economic growth in the **United States of America** was 4% q/q (2.4% y/y economic growth was reported in the 2nd quarter). Private spending, investment and government spending contributed to the growth positively but net exports made a negative contribution.

In the 2nd quarter of 2014, average quarterly inflation in the U.S.A. was 2.1% y/y compared to 1.4% reported in the previous quarter. In the meantime, the U.S. Fed has reduced the monthly volume of purchase of securities by roughly USD 10 billion, bringing it down to USD 35 billion.

In Euro-area in the 2nd quarter of 2014, there was 0.7% economic growth against the same period of the previous year, according to preliminary estimates provided by the Eurostat. During the quarter, consumer price index posted an average 0.6% growth y/y against the previous quarter’s 0.7%.

In the 2nd quarter of 2014, the European Central Bank lowered the policy rate to 0.15% in the meanwhile setting a - 0.1% rate on the deposit facility.

In the 2nd quarter, economic growth in Euro-area somewhat slowed down



In the 2nd quarter of 2014, Euro depreciated versus the U.S. dollar by 0.2% (y/y appreciation was 4.6%), with the average dollar exchange rate reaching 1.37 for one Euro.

In the 2nd quarter of 2014, economic growth in Russia was 0.8% y/y, according to the preliminary estimates of the Russia State Statistics Service. Specifically, industry posted some 1.8% growth compared to the previous quarter's 1.1% growth. Growth rates in retail trade and agriculture were 1.8% y/y and 1.7% y/y, respectively. In the meanwhile though, construction reported a 2% decline. Consumer Price Index posted an average y/y growth of 7.6% against the previous quarter's 6.4%.

In the 2nd quarter of 2014, the **price of Brent crude** at Intercontinental Exchange grew by 1.8% against the previous quarter, reaching USD 110 a barrel (with 6.6% growth y/y). During the quarter, the **price of copper** at the London Metal Exchange dropped by 3.4% to USD 6764 per ton (with 6% decline y/y), driven by reported deflation early in the quarter.

In the 2nd quarter of 2014, export price of **hard red wheat** grew by 8.3% q/q to USD 8.8 a bushel (with 2.7% growth y/y), according to the U.S. Department of Agriculture data. The increase of wheat prices in the second quarter was mainly due to risks to possible export distortions in the Black Sea region caused by geopolitical factors. During the quarter, the price index of **unprocessed sugar** at the New York Board-Intercontinental Exchange reported a 4.9% increase (with 0.6% growth y/y) but the price of **rice** at the Chicago Board of Trade fell by 3.9% to USD 14.8 per U.S. hundredweight (45.4 kg) (with 5.1% decline y/y).

International oil price showed inflationary patterns, world copper markets saw mostly deflationary trends and inflationary trends were discernable in world food markets.

Actual price behavior in different commodity markets are mostly in line with in the Central Bank predictions outlined in its Q2 2014 Monetary Policy Program: international oil price demonstrated some inflationary patterns, whereas world copper markets saw mostly deflationary trends. In world food markets in the 2nd quarter, inflationary developments were discernable.

4. CONCLUSION

In the 2nd quarter of 2014, global demand in *external sector* remained sluggish and mostly weak inflationary patterns were observable in basic commodity and food markets. In the *forecast horizon* the global economic growth rates are expected to rebound slowly, so *inflationary pressures* in basic commodity and food markets of the world *are not anticipated*.

In the 2nd quarter of 2014, economic activity was further slow-moving and the inflation environment moderate. Under such conditions, *economic growth* is estimated in the range **3.4-3.6%**, with the *12-month inflation rate* reached **1.8%**, i.e. below the lower bound of the confidence band.

In the forecast horizon, real private consumption growth rates are expected to stabilize and private investment to rebound slowly. Under such circumstances, economic growth will be around its equilibrium. Reviving private demand and an overall neutral fiscal policy will make sure the inflation environment *will not expand in the forecast horizon*.

In the *forecast horizon*, inflation will stabilize around the target level of 4 percent. In view of slowly recovering economic activity as well as *electricity price rise* from August and *stamp duty introduced* to a variety of goods starting from the 4th quarter of 2014, inflation will somewhat increase in the second half of the year. It will nevertheless remain at a low level in the yearend. *In the 3rd quarter of 2014, the Central Bank will continue loosening the monetary conditions*. This, coupled with the easing of monetary conditions to date and an expansionary fiscal policy anticipated during the year, will stimulate aggregate demand and push inflation rates to rebound. As a result, the economic activity will somewhat revive in the upcoming period of time whilst facilitating the inflation to stabilize around its target in the medium run.

Risks to inflation deviating from the projected value are estimated as balanced in both short and medium run. Risks deriving from the external sector are primarily associated with the development perspectives in emerging economies (Russia, in particular) and a spillover of their possible effects onto commodities and food product markets. *Risks coming from the domestic economy* are related to the developments with domestic demand, including how quickly capital investment would recover and how effectively the state budget will perform, as well as to the developments in agriculture sector which is largely reliant on climatic conditions. If such risks materialize, the Central Bank will react accordingly by maintaining the inflation target in the *forecast horizon*.